

The article describes the role of internet in decline of costs of information exchange and its affects on economic development. The author argues that lowering the cost of computing has resulted in far lower cost of acquiring and using information which lowers transaction costs and, as a consequence, the production costs. The article details the three major, interrelated ways in which the internet has impacted the economic development. Firstly, the internet has facilitated inclusion by overcoming the information problem. Due to internet, people and other businesses, particularly smaller businesses, are far easily discover-able. Before the internet, some transactions may not have taken place simply because the two involved parties had no way finding each other out. With e-commerce, for instance, a small business in a remote rural area can connect with the rest of the world.

Secondly, the internet has made transactions faster, cheaper and more convenient, which has raised the productivity of existing factors of production. The author cites the example of UPS, which saves a million gallons of fuel per annum by using routing tech that minimizes left turns where vehicles are often held up by oncoming traffic.

The third aspect that author talks about is innovation and scalability. The internet has opened avenues for new types of businesses where there are fixed upfront costs but each additional user incurs very little extra cost. The author contrasts supply-side scale economies where costs drop with each transaction but are regulated due to high cost of entry, with internet based markets which can scale quickly with low initial costs. The author also discusses scale economies on demand side, as for many online services, the value for user lies in how many other users are also using the service. Although the cost for user to switch is very low, for the same level of utility, a large number of users would have to switch, creating a "lock in" effect.

The author also discusses privacy concerns, as internet economies often tend to be two sided. The companies provide free services to the users at the cost of their privacy as they charge the advertisers for targeted advertising. This gives rise to very different type of competition where companies do not have a monopoly over users but do have a monopoly over advertisers. Lastly, the author states that in many transactions, more than one of the three stated mechanisms may be at play.

Something that I found particularly interesting and relatable is the scale economies on the demand side. Despite the internet providing countless different ways of connecting and communicating with others, when I stopped using Facebook a few years ago, I felt pressurized by my peers into continuing to use it as it has become a staple mode of communication for many. Switching to a different mode of communication may not incur a monetary cost but the cost of convenience does keep people locked in.

Lastly, an extension to the paper would be to address how various online services have, in recent years, started to exploit their monopolies in various ways. For instance, by changing their terms of service for all existing and new users or locking features behind paywalls after the competitors run out of business.